WINDING UP & INSOLVENCY AND BANKRUPTCY CODE, 2016

Comprehensive Exam Preparation Notes

Topics: Winding Up | IBC 2016 | NCLT | NCLAT | Special Courts

UNIT 1: WINDING UP OF A COMPANY

1.1 Concept of Winding Up

Winding up (also called liquidation) is the process by which a company's existence is brought to an end. It is a legal proceeding through which the assets of a company are collected and realised, its liabilities are paid off, and the surplus (if any) is returned to the members.

Definition: Winding up is the process by which the management of a company's affairs is taken out of its directors' hands, the assets are realised by a liquidator, and the proceeds are applied in payment of its debts. After satisfying all debts, the surplus is distributed among the members according to their rights.

Key Features of Winding Up

- It leads to the dissolution of the company.
- A liquidator is appointed to manage the process.
- All business activities of the company are stopped.
- Assets are collected, realised, and liabilities discharged.
- Surplus assets are distributed among members.
- The company's name is struck off from the Register of Companies.

Distinction: Winding Up vs. Dissolution

Winding Up	Dissolution
Winding Up	Dissolution
Process leading to dissolution	End result — legal death of company
Company still exists as a legal entity	Company ceases to exist

Winding Up	Dissolution
Assets are collected and realised	No further activities possible
Governed by Companies Act / IBC	Order passed by NCLT / Tribunal
Can be suspended or stayed	Final and irreversible

1.2 Modes / Types of Winding Up

Under the Companies Act, 2013 and the Insolvency and Bankruptcy Code, 2016, there are three principal modes of winding up:

Mode 1: Winding Up by the Tribunal (Compulsory Winding Up)

Under Section 271 of the Companies Act, 2013, a company may be wound up by the Tribunal (NCLT) on a petition.

Who can file a petition? (Section 272)

- The company itself
- Any creditor or creditors (including contingent or prospective creditors)
- Any contributory or contributories
- The Registrar of Companies
- Any person authorised by the Central Government
- Central Government or State Government

Grounds for Winding Up by Tribunal (Section 271)

1. The company has by special resolution resolved that the company be wound up by the Tribunal.
2. The company has acted against the interests of the sovereignty and integrity of India, the security of the State, friendly relations with foreign states, public order, decency or morality.
3. On application by the Registrar or any other person authorised by Central Government, if the company is formed for fraudulent and unlawful purpose or if persons concerned are guilty of fraud/misfeasance.
4. The company has made default in filing financial statements or annual returns with the Registrar for the immediately preceding five consecutive financial years.
5. The Tribunal is of the opinion that it is just and equitable that the company should be wound up.

Procedure for Winding Up by Tribunal

6. Filing of petition before NCLT
7. Admission of petition and issuance of notice
8. Advertisement of petition
9. Hearing and order of winding up
10. Appointment of Official Liquidator / Company Liquidator
11. Taking charge of assets

12. Realisation of assets and discharge of liabilities
13. Submission of final report
14. Dissolution order

Exam Tip: The 'just and equitable' ground is the most widely litigated ground. Courts have applied it in cases of deadlock in management, loss of substratum, oppression of minority, and fraudulent promotions.

Mode 2: Voluntary Winding Up

Voluntary winding up is initiated by the company itself without intervention of the Tribunal. It is governed by Sections 304–323 of the Companies Act, 2013.

Types of Voluntary Winding Up

Members' Voluntary Winding Up	Creditors' Voluntary Winding Up
Members' Voluntary Winding Up	Creditors' Voluntary Winding Up
When company is solvent	When company is insolvent
Directors make Declaration of Solvency	No declaration of solvency made
Members (shareholders) control the process	Creditors have dominant control
Liquidator appointed by members	Creditors can appoint their own liquidator
Surplus assets distributed to members	Assets insufficient to pay all creditors
Sections 304-309 of Companies Act, 2013	Sections 310-323 of Companies Act, 2013

Procedure for Voluntary Winding Up

15. Board of Directors meeting — pass resolution and (if applicable) Declaration of Solvency
16. General Meeting — pass special resolution or ordinary resolution (on expiry of period) for voluntary winding up
17. Appointment of Liquidator
18. Liquidator takes control of assets
19. In Creditors' VWU — Creditors' meeting within 14 days
20. Realisation of assets, payment of liabilities
21. Final Meeting of Members and/or Creditors
22. Filing of final account with Registrar and Official Liquidator
23. Dissolution

Declaration of Solvency (Section 305)

- Made by majority of directors at a Board meeting

- Must state that company has no debts, OR will be able to pay its debts in full within 3 years from commencement of winding up
- Must include a Statement of Assets and Liabilities
- Declaration must be filed with Registrar before passing the resolution
- Making a false declaration is a criminal offence

Mode 3: Winding Up Subject to Supervision of Court (Now Obsolete)

This mode existed under the Companies Act, 1956. Under the Companies Act, 2013, voluntary winding up proceedings can be supervised by NCLT but this is no longer a separate category. The distinction has been largely absorbed into the IBC framework.

1.3 Consequences of Winding Up Order

- All suits and legal proceedings against the company are stayed
- Disposition of property after commencement is void
- Attachments, executions, distress after commencement are void
- The company's employees are deemed to be dismissed
- Directors' powers cease
- Official Liquidator becomes the liquidator
- All assets vest in the liquidator for realisation

1.4 Liquidator

Official Liquidator

- Attached to NCLT; an officer of the Central Government
- Appointed by the Central Government
- Acts as provisional liquidator when winding up order is made
- Has custody of all assets, books, and records of the company

Company Liquidator (Section 275)

- Appointed by NCLT in case of winding up by Tribunal
- Must be an Insolvency Professional registered with IBBI
- Can be a firm or body corporate
- Duties: realise assets, settle claims of creditors, distribute surplus, and make final report

1.5 Priority of Payments in Winding Up

The order of priority in distributing assets during winding up is:

24. Costs and expenses of winding up (including liquidator's fees)
25. Dues to workmen (wages, salaries, provident fund)

26. Taxes and government dues
27. Secured creditors (up to extent of their security)
28. Unsecured creditors
29. Preference shareholders
30. Equity shareholders (surplus, if any)

UNIT 2: INSOLVENCY AND BANKRUPTCY CODE, 2016

2.1 Need for the Insolvency and Bankruptcy Code, 2016

Prior to the IBC, the insolvency resolution framework in India was fragmented across multiple legislations, leading to significant inefficiencies.

Pre-IBC Framework — Problems

- Multiple legislations governed insolvency: Companies Act, SARFAESI Act, RDDBFI Act, SICA, Presidency Towns Insolvency Act, Provincial Insolvency Act, etc.
- No single unified code — different forums for different creditors and debtors
- High recovery rates were absent — creditors recovered only ~20 paise per rupee
- Time taken was extremely long — average resolution took 4.3 years (global average: 1.7 years)
- India ranked 136th out of 189 countries in resolving insolvency (World Bank Ease of Doing Business, 2016)
- No time-bound resolution mechanism
- No framework for personal insolvency
- No regulation of Insolvency Professionals

Recommendations and Genesis

- Bankruptcy Law Reforms Committee (BLRC) under Dr. T.K. Viswanathan submitted its report in 2015
- BLRC recommended a unified, creditor-in-control, time-bound insolvency resolution framework
- IBC was enacted and received President's assent on 28 May 2016
- IBC came into force in phases between 2016-2017

Objectives of IBC

31. Consolidate and amend laws relating to reorganisation and insolvency resolution
32. Provide time-bound resolution of insolvency within 180 days (extendable to 270 days, and further under CIRP)
33. Maximise value of assets of corporate persons
34. Promote entrepreneurship, availability of credit, and balance interests of all stakeholders
35. Establish an Insolvency and Bankruptcy Board of India (IBBI) as regulator
36. Create a framework for Insolvency Professionals (IPs) and Information Utilities (IUs)

Key Achievement: IBC has significantly improved India's ranking in the Ease of Doing Business index — India jumped to 52nd rank in 2019 from 142nd in 2014. The average time for insolvency resolution has also reduced substantially.

2.2 Overall Scheme / Structure of the IBC

Parts of the IBC

Part	Title	Key Content
Part I (Sec 1-3)	Preliminary	Definitions and applicability
Part II (Sec 4-77)	Insolvency Resolution & Liquidation for Corporate Persons	CIRP, Liquidation, Fast Track
Part III (Sec 78-187)	Insolvency Resolution & Discharge for Individuals/Firms	Personal insolvency
Part IV (Sec 188-223)	Regulation of Insolvency Professionals, Agencies & IUs	IBBI, IPs, IUs
Part V (Sec 224-255)	Miscellaneous	Offences, penalties, etc.
Schedules (1-11)	Amendments to other Acts	SICA repealed, Companies Act amended, etc.

Two Key Processes under IBC

CIRP	Liquidation
Corporate Insolvency Resolution Process (CIRP)	Liquidation
Primary process — aims at revival	Triggered if CIRP fails
Creditors-in-control model	Liquidator manages the process
Committee of Creditors (CoC) drives resolution	Assets sold to pay creditors
180 days + 90 days extension	Process must be completed expeditiously
Resolution Professional manages company	Company is eventually dissolved
Goal: going concern, value maximisation	Goal: realise assets, pay dues

2.3 Important Definitions under IBC (Section 3)

Key Definitions

Term	Definition/Explanation
Term	Definition/Explanation
Corporate Person [S.3(7)]	A company, LLP, or any other incorporated body — but NOT a financial service provider

Term	Definition/Explanation
Corporate Debtor [S.3(8)]	A corporate person who owes a debt to any person
Creditor [S.3(10)]	A person to whom a debt is owed, whether or not he is a secured creditor
Financial Creditor [S.5(7)]	A creditor to whom a financial debt is owed, e.g., banks, debenture holders
Operational Creditor [S.5(20)]	A creditor to whom an operational debt is owed, e.g., suppliers, employees, government
Financial Debt [S.5(8)]	A debt with consideration for time value of money — borrowings, bonds, debentures, financial lease
Operational Debt [S.5(21)]	A debt arising from provision of goods/services, employment, or dues payable to government
Default [S.3(12)]	Non-payment of debt when whole or any part or instalment of the amount has become due and payable
Claim [S.3(6)]	A right to payment, even if disputed, contingent, or unliquidated
Resolution Plan [S.5(26)]	A plan proposed by a resolution applicant for insolvency resolution of the corporate debtor
Insolvency Professional [S.3(19)]	A person enrolled with an Insolvency Professional Agency and registered with IBBI
Insolvency Resolution Process Cost	Amounts due to insolvency professionals, dues to employees post-commencement, operational costs incurred by RP
Liquidation Cost	Amounts paid to liquidator; expenses incurred in liquidation process
Related Party [S.5(24)]	Director, key managerial personnel, promoter, relative, or entity in which they have significant control

Threshold for Triggering CIRP

Minimum Default Amount: A CIRP can be triggered when the minimum amount of default is Rs. 1 crore (increased from Rs. 1 lakh by notification during COVID-19 pandemic, and retained thereafter). The IBBI may further modify this threshold.

2.4 Corporate Insolvency Resolution Process (CIRP) — Overview

Who can initiate CIRP?

Initiating Party	Provision
Financial Creditor	Can file application before NCLT under Section 7
Operational Creditor	Can file application before NCLT under Section 9 (after 10-day demand notice)
Corporate Debtor Itself	Can file application before NCLT under Section 10 (voluntary insolvency)

Key Steps in CIRP

37. Application filed before NCLT
38. NCLT admits or rejects the application within 14 days
39. Order of moratorium under Section 14 — no suits/legal proceedings, no enforcement of security, no transfer/disposal of assets, no recovery of property
40. Appointment of Interim Resolution Professional (IRP) within 14 days
41. Public announcement and invitation for claims
42. Constitution of Committee of Creditors (CoC) — only financial creditors
43. IRP confirmed as Resolution Professional (RP) or new RP appointed by CoC
44. RP manages affairs of corporate debtor as a going concern
45. Resolution plans invited, evaluated, and approved by CoC (minimum 66% voting share)
46. Resolution plan submitted to NCLT for approval
47. If no plan approved within timeline — Liquidation order

Timeline under CIRP

Stage/Event	Timeline
Admission of application	14 days from filing
Constitution of CoC	30 days from IRP appointment
Normal CIRP Period	180 days from insolvency commencement date
Extension (with 75% CoC approval)	Additional 90 days
Outer Limit (Mandatory)	330 days (including legal proceedings) — per SC in Essar Steel
Fast Track CIRP	90 days (extendable by 45 days) for small companies

2.5 Institutions / Infrastructure under IBC, 2016

A. Insolvency and Bankruptcy Board of India (IBBI)

IBBI is the apex regulatory authority established under Part IV (Section 188) of the IBC.

Constitution of IBBI

- Chairperson — appointed by Central Government
- Three members from Central Government (representing Finance, Corporate Affairs, and Law ministries)
- One member from Reserve Bank of India
- Five other members appointed by Central Government (whole-time and part-time)

Functions of IBBI (Section 196)

- Regulate the working of Insolvency Professionals (IPs), Insolvency Professional Agencies (IPAs), and Information Utilities (IUs)
- Register and regulate IPs, IPAs, and IUs
- Promote transparency and governance in administration of insolvency proceedings
- Conduct examination for enrolment as IPs
- Specify standards and codes of conduct for IPs
- Collect, maintain, and disseminate information about insolvency proceedings
- Make regulations and issue guidelines
- Perform quasi-judicial functions

B. Insolvency Professional Agencies (IPAs)

- Registered bodies that enrol and regulate IPs as their members
- Conduct examinations and training for IPs
- Perform grievance redressal for persons against IPs
- Examples: ICSI IPA, ICAI IPA, ICMAI IPA

C. Insolvency Professionals (IPs)

- Licensed practitioners who administer insolvency proceedings
- Act as IRP, RP, Liquidator, or Bankruptcy Trustee
- Must be enrolled with an IPA and registered with IBBI
- Minimum qualifications: Graduate + 10 years of management experience, OR qualified CA/CS/Cost Accountant/Advocate + 5 years experience
- Subject to code of conduct and disciplinary proceedings

D. Information Utilities (IUs)

- Regulated entities that collect, collate, authenticate, and disseminate financial information
- Creditors are required to submit financial information to IUs
- Facilitates quick determination of existence of default

- Example: National E-Governance Services Ltd (NeSL) is the only registered IU currently

E. Adjudicating Authorities

Adjudicating Authority	Jurisdiction
NCLT (National Company Law Tribunal)	For corporate insolvency — Financial Creditors, Operational Creditors, Corporate Debtor
Debt Recovery Tribunal (DRT)	For personal insolvency — individuals and partnership firms
Supreme Court / High Court	Appellate jurisdiction over NCLAT / DRAT respectively

F. Committee of Creditors (CoC)

- Constituted by RP after collation of claims from financial creditors
- Only financial creditors are members of CoC (operational creditors are not members)
- Decision making body during CIRP — approves resolution plan, extends time, replaces RP
- Decisions by voting share — ordinary decisions require 51%, key decisions require 66%
- Related parties of corporate debtor cannot exercise voting rights

UNIT 3: ADMINISTRATION OF COMPANY LAW

3.1 National Company Law Tribunal (NCLT)

Background

The NCLT was established under Section 408 of the Companies Act, 2013 and became operational from 1 June 2016. It replaced the Company Law Board (CLB) and took over jurisdiction from High Courts in company law matters.

The constitution of NCLT was upheld by the Supreme Court in Madras Bar Association v. Union of India (2015) with certain modifications.

Composition of NCLT

- President — to be a retired or sitting Judge of a High Court
- Judicial Members — persons qualified to be High Court Judges, or advocates with 15 years experience
- Technical Members — persons from ICLS, IAS, or with 15 years financial/corporate law experience
- Benches located in multiple cities: Delhi (Principal Bench), Mumbai, Kolkata, Chennai, Hyderabad, Ahmedabad, Allahabad, Chandigarh, Bengaluru, Jaipur, Cuttack, Kochi, Guwahati (15 benches)

Jurisdiction and Powers of NCLT (Section 430-431)

Under Companies Act, 2013

- Power to wind up companies (Compulsory Winding Up)
- Prevention of oppression and mismanagement (Sections 241-246)
- Class action suits (Section 245)
- Revival and rehabilitation of sick companies
- Conversion of LLP to company
- Rectification of registers, debentures, charges
- Scheme of compromise and arrangement (Sections 230-232) — mergers, demergers, amalgamations
- Disqualification of directors

Under IBC, 2016

- Adjudicating authority for CIRP of corporate debtors
- Admission or rejection of CIRP applications
- Appointment of IRP and RP
- Order of moratorium
- Approval of resolution plans
- Liquidation orders
- Avoidance of preferential, undervalued, and fraudulent transactions

Procedure before NCLT

48. Filing of application/petition along with prescribed fees
49. Registry scrutiny and listing
50. Notice to opposite parties
51. Hearing — exchange of pleadings, evidence
52. Arguments and order
53. Orders are binding and can be enforced as decrees of Civil Court

Civil Court Bar (Section 430): No civil court shall have jurisdiction to entertain any suit or proceeding in respect of any matter which NCLT or NCLAT is empowered to determine. This ouster clause is comprehensive.

3.2 National Company Law Appellate Tribunal (NCLAT)

Constitution

NCLAT is established under Section 410 of the Companies Act, 2013, with its seat in New Delhi. It also has a Chennai bench.

- Chairperson — a retired Judge of the Supreme Court or Chief Justice of High Court
- Judicial Members and Technical Members
- Must be constituted by the Central Government

Jurisdiction of NCLAT

Appellate Authority for:

- Orders of NCLT under Companies Act, 2013 — appeal within 45 days (extendable to 90 days)
- Orders of NCLT under IBC, 2016 — appeal within 30 days
- Orders of Insolvency and Bankruptcy Board of India
- Orders of Competition Commission of India (CCI) — under Competition Act, 2002

Powers of NCLAT

- Confirm, modify, or set aside orders of NCLT
- Remand the matter to NCLT for fresh adjudication
- Award costs in appropriate cases
- Stay orders pending appeal

Further Appeal

An appeal from any order of NCLAT lies to the Supreme Court of India on a question of law, within 45 days from the date of the NCLAT order. The Supreme Court may extend this period on sufficient cause.

3.3 Special Courts

Constitution (Section 435)

The Central Government shall, in consultation with the Chief Justice of the High Court, designate one or more courts as Special Courts for each district to try offences under the Companies Act, 2013.

Composition

- Special Courts consist of a Sessions Judge or an Additional Sessions Judge for offences punishable with imprisonment of two years or more
- For offences punishable with less than two years: Chief Metropolitan Magistrate or Chief Judicial Magistrate

Jurisdiction of Special Courts

- Try offences under Companies Act, 2013 (for which punishment is imprisonment)
- Can award both fine and imprisonment
- Powers of Court of Sessions under CrPC
- Can take cognisance of offence without commitment when offence is reported by NCLT or NCLAT or MCA

Key Offences under Companies Act that go to Special Courts

Offence	Punishment
Fraud (Section 447)	Imprisonment 6 months–10 years + fine (2x–3x of amount involved)
False statement to ROC	Imprisonment up to 2 years + fine
Fraudulent conduct (Section 339)	Imprisonment up to 2 years + fine
Misstatement in prospectus	Imprisonment up to 3 years + fine
Insider trading (SEBI Act)	Adjudicated by SEBI/SAT/Special Court

Offences Tried by Magistrates (Not Special Court)

- Offences under Section 436 (below 2 years imprisonment or only fine) are tried by Magistrates
- Summary trials for compoundable offences

Compounding of Offences (Section 441)

- Offences punishable with fine only, or both fine and imprisonment up to 3 years — can be compounded
- Compounding before NCLT or Regional Director (depending on amount of fine)
- Cannot be compounded if accused has been convicted previously in the last 3 years
- Compounding does not apply to offences under SEBI Act / FEMA

3.4 Serious Fraud Investigation Office (SFIO)

Constitution (Section 211)

SFIO is a multi-disciplinary organisation established under the Central Government with powers to investigate serious cases of fraud under the Companies Act, 2013.

Composition

- Director — member of IAS or equivalent
- Officers from various agencies: income tax, customs, banking, capital markets, insurance, law enforcement

Powers of SFIO

- Investigate cases assigned by Central Government
- Power to arrest (under Section 212(8)) — a significant power added by Companies Act, 2013
- Compel persons to produce documents and attend for examination
- Forward prosecution reports to Special Courts
- Coordinate with other regulatory authorities

Important: Where SFIO is investigating a company, no other agency (CBI, police, etc.) can investigate the same company for the same offence. SFIO has exclusive jurisdiction.

3.5 Registrar of Companies (ROC) and MCA21

Role of ROC

- Registers incorporation documents (MOA, AOA), and issues Certificate of Incorporation
- Maintains the register of all companies
- Receives and files annual returns, financial statements, and other statutory forms
- Can strike off names of defunct companies from register (Section 248)
- Has power to call for information and inspect company documents

MCA21 Portal

- Digital platform of Ministry of Corporate Affairs for filing documents electronically
- All statutory forms filed online through MCA21

- Provides public access to company records
- Integrated with IBBI for IBC proceedings

QUICK REVISION: KEY COMPARISON TABLES

Modes of Winding Up — Quick Comparison

Mode	Nature	Trigger
Winding Up by Tribunal	Compulsory	Creditors / Company / Registrar — petition to NCLT
Members' Voluntary Winding Up	Voluntary — Solvent	Special resolution by members + Declaration of Solvency
Creditors' Voluntary Winding Up	Voluntary — Insolvent	Special resolution + Creditors' meeting

IBC Key Timelines

Event	Timeline	Provision
NCLT admission of CIRP application	14 days from filing	Section 7/9/10
Moratorium period	Till CIRP ends	Section 14
Normal CIRP period	180 days	Section 12
Extension with CoC approval (75%)	+90 days	Section 12(2)
Mandatory outer time limit	330 days	SC: Essar Steel (2019)
Fast Track CIRP (small companies)	90 + 45 days	Section 55-58
Liquidation — if CIRP fails	2 years (target)	Section 33+

Adjudicating Authorities — Quick Chart

Body	IBC Jurisdiction	Companies Act Jurisdiction
NCLT	Corporate insolvency (CIRP + Liquidation)	Company matters, merger/demerger, oppression, winding up

Body	IBC Jurisdiction	Companies Act Jurisdiction
NCLAT	Appeals from NCLT + IBBI + CCI	Appellate jurisdiction
DRT	Individual/Firm insolvency	SARFAESI matters also
Special Court	Criminal offences under Companies Act	Fraud, misstatement, fraudulent conduct
IBBI	Regulation of IPs, IPAs, IUs	Quasi-judicial + regulatory
SFIO	Serious fraud investigation	Exclusive jurisdiction when assigned by Govt

EXAM STRATEGY: Focus on: (1) Grounds and procedure for winding up by Tribunal, (2) Declaration of Solvency, (3) CIRP timeline (180+90+330 days), (4) Definitions under IBC — Financial Creditor, Operational Creditor, Financial Debt, Operational Debt, (5) Role of CoC, (6) Functions of IBBI, (7) Jurisdiction of NCLT vs NCLAT vs Special Courts.

— END OF NOTES —